

Korea Strategy

New rules for single-stock leveraged ETF

Equity Strategy

Korea

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New rules on single-stock leveraged ETF announced

The gov't has disclosed measures to curb speculative trading in single-stock leveraged ETFs, including raising the minimum cash deposit to Won30m (5Aug) from an effective Won3m, eliminating the use of substitute collateral for up to 70% of required deposit (19Aug), prohibiting drawdowns of deposits during the investment period, increasing the minimum trading unit from 1 to 20 shares (tentative, Nov) and requiring longer investor education (3hrs vs previous 2hrs). In addition, the gov't suspended launching of new single stock leveraged ETF and banned marketing of the product.

Impact of the new rules

We see suspending new launches of single-stock leveraged ETFs as likely to support the government's objectives, alongside the Won30m all cash minimum deposit requirement. We expect the latter could reduce retail participation as it is equivalent to 7% of household assets in the third income quintile and 27% of their financial assets. However, we expect limited impact from increased education and higher trading units (20 shares = cUS\$190).

But market moves are already forcing leveraged ETF down

Importantly, we believe market price actions are already forcing single-stock leveraged ETFs down – AUM (Korea and overseas listed) has fallen from Won24trn peak on 25Jun to current Won17trn (Figures 3-5). Retail net buying of single-stock leveraged ETFs, although still active, is slowly declining (Figures 6-7). This is as investors would have incurred 30-32% loss if ETFs were held since 27May (Korea listed ETF launch) and 44-55% loss if held since 25Jun (peak share price) vs underlying asset performance of 7-9% loss and 22-29% loss respectively. We find total leveraged ETF AUM (Korea and overseas listed) to have fallen as well from Won48trn peak in 22Jun to Won33trn (Figure 9).

Similar actions seen with leveraged battery sector ETFs launched in 2023

Leveraged ETFs are not new in Korea, unlike the single-stock leveraged ETFs. Notably, the sharp rally in battery stocks in July 2023 was eclipsed by the launch of leveraged battery ETFs (Figure 10). The negative share price moves thereafter grinded down the ETFs, although new ETF launches kept the volatilities high for c6-9M. Battery stocks did not impact KOSPI like now as battery comprised only 16% of KOSPI market cap in Jun2023. The dynamics are quite different now – SEC/SKH comprised 56% of KOSPI market cap as of Jun2026 and single-stock leveraged ETFs turnover is equivalent to 54%/24% of SKH/SEC turnover in July MTD. Considering the 2x leverage, we believe the impact of ETF related flows on the underlying asset could be larger.

Affirm 9,200 KOSPI target but see volatilities in the near term

We affirm our KOSPI target price of 9,200 (9x NTM PE) (downside/upside 5,500/10,500) given solid 265%/66% EPS growth in 2026/27E and undemanding valuations. But in the near term, we believe AI demand concerns and SEC/SKH profit outlook could keep volatility high, which conversely will help lower the AUM of leveraged ETFs. Given the volatility, we shift our portfolio to barbell strategy – we add Shinsegae, Celltrion and Samsung E&A, and remove HDEC, KAI, KSOE and Coupang from our preferred list.

Figure 1: Our most- and least-preferred stocks in Korea

Company name		UBS rating	PT (LC)	Curr price (LC)	Up/down (%)	MCap (US\$bn)	PE ('26E)	P/BV ('26E)	Company name		UBS rating	PT (LC)	Curr price (LC)	Up/down (%)	MCap (US\$bn)	PE ('26E)	P/BV ('26E)
Most preferred									Most preferred (continued)								
RIC									RIC								
Memory(KOSPI)									Construction								
SK Hynix	000660.KS	Buy	3,200,000	1,842,000	74%	905.4	2.6x	1.6x	Samsung E&A	028050.KS	Buy	71,000	40,850	74%	5.4	7.8x	1.3x
Samsung Electronics	005930.KS	Buy	550,000	255,000	116%	1,019.2	2.9x	1.2x	K-Culture/Consumer								
Hansol Chemical	014680.KS	Buy	390,000	244,500	60%	1.8	10.9x	1.9x		Shinsegae APR	004170.KS	Buy	1,000,000	589,000	70%	3.5	9.4x
Memory(KOSDAQ)									APR								
Eugene Tech	084370.KQ	Buy	182,000	146,800	24%	2.3	22.6x	5.0x	d'Alba Global	483650.KS	Buy	320,000	208,500	53%	1.9	13.0x	5.7x
AI/enablers									Shipbuilding								
Doosan Enerbility	034020.KS	Buy	135,000	69,700	94%	30.0	59.5x	5.0x	HD HHI	329180.KS	Buy	830,000	484,000	71%	34.3	13.8x	3.8x
Hyosung Heavy	298040.KS	Buy	4,400,000	2,789,000	58%	17.6	23.1x	6.4x	Healthcare								
POSCO Holdings	005490.KS	Buy	600,000	311,500	93%	16.0	8.4x	0.4x		Celltrion Inc	068270.KS	Buy	280,000.0	175,800.0	59%	27.2	24.0x
Samsung SDI	006400.KS	Buy	850,000	434,500	96%	22.7	19.5x	1.4x									
Least preferred									Least preferred (continued)								
EV Materials									Others								
POSCO Future M	003670.KS	Sell	110,000	147,600	-25%	8.9	159.1x	3.1x	Hanmi Semi	042700.KS	Sell	170,000	242,500	-30%	15.6	45.7x	19.4x
EcoPro BM	247540.KQ	Sell	76,000	112,400	-32%	7.4	84.1x	5.9x									
L&F	066970.KS	Sell	104,000	92,000	13%	2.5	195.0x	4.3x									

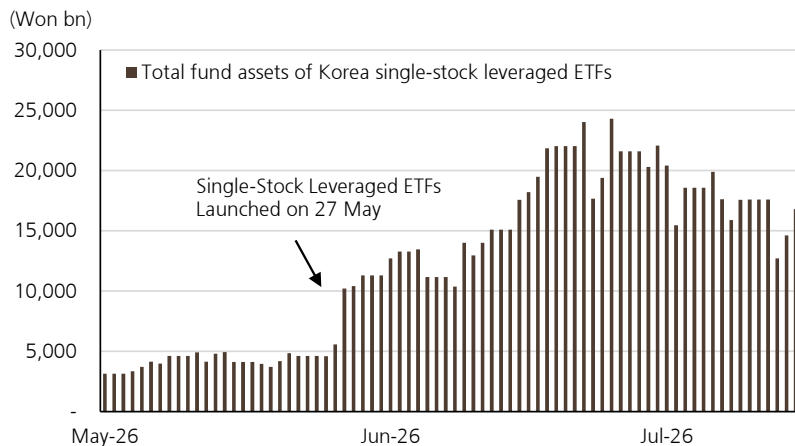
Source: Refinitiv, UBS estimates. Note: Priced as of 15 Jul 2026. We add to our most preferred list Shinsegae, Celltrion and Samsung E&A, and remove HDEC, KAI, KSOF and Coupang from our preferred list.

Figure 2: New single-stock leveraged ETF regulations vs previous rules

Single-stock leveraged ETF regulation	Regulated Entity	Details		Target date
		From	To	
Enhanced investor protection	Investor	1h of general leveraged ETF training + 1h of advanced single-stock leveraged ETF training (2 h in total)	- Mandatory pre-trading education extended from two hours to three hours - Education to include recent market conditions and loss case studies - Automatic and periodic MTS notifications on losses and long-term holding risks	Within Aug 2026
Tighter investor requirements	Investor + Brokerage	Won 10mn minimum deposit required for single-stock leveraged/inverse products	Minimum deposit requirement increased from Won10mn to Won30m	5 Aug 2026
			- Deposit requirement restricted to cash deposits only; collateral securities no longer accepted. - Abolish drawdown of deposit based on trading experience	19 Aug 2026
Measures to address market overheating	Brokerage	NA	- Temporary suspension of launches of new single-stock products until market conditions stabilize - Immediate ban on advertising and promotional marketing for existing listed products	Immediately effective
Stronger premium/discount management	Brokerage + LP	NA	- LP premium/discount threshold tightened from 3% to 2% - Legal basis to restrict new LP mandates for material or intentional violations - New ETF approvals restricted for asset managers with repeated premium/discount violations - Investment warning designation process shortened from three stages to two	Within Aug 2026
Higher minimum trading unit	Brokerage	NA	Minimum trading unit increased from 1 unit to 20 units (tentative)	Nov 2026

Source: Financial Services Commission (FSC)

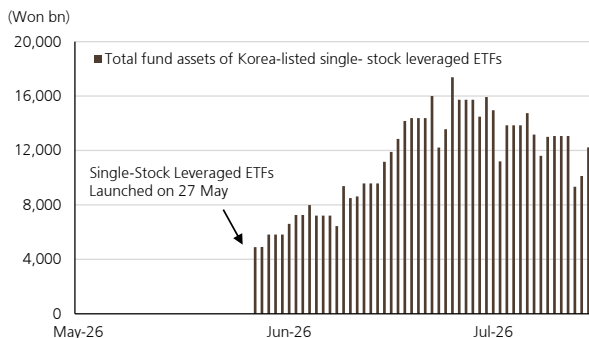
Figure 3: AUM of single-stock (SEC, SKH) leveraged ETFs listed in Korea and overseas



Weak share price already forcing single-stock leveraged ETF's AUM down

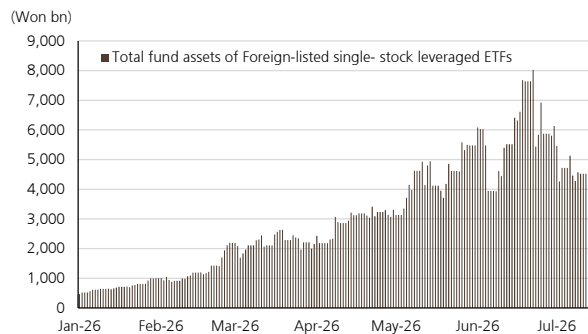
Source: Bloomberg

Figure 4: AUM of single-stock (SEC, SKH) leveraged ETFs listed in Korea



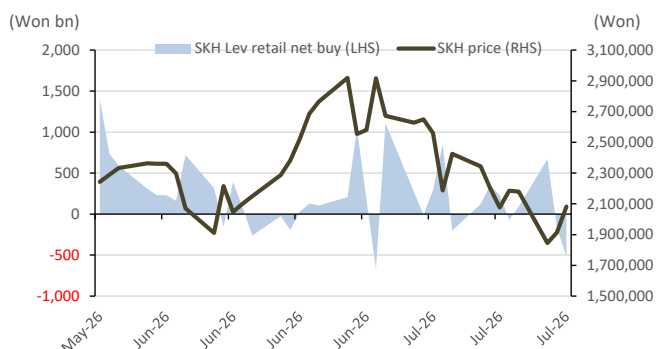
Source: Bloomberg

Figure 5: AUM of single-stock (SEC, SKH) leveraged ETFs listed overseas



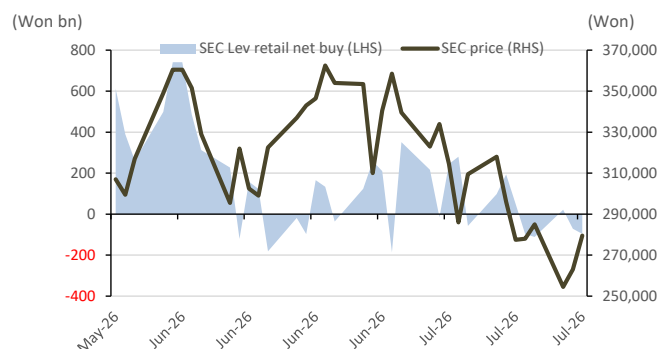
Source: Bloomberg

Figure 6: SKH single-stock leverage ETF net buying vs. share price performance



Source: WiseFn

Figure 7: SEC single-stock leverage ETF net buying vs. share price performance



Source: WiseFn

Figure 8: Performance comparison - single-stock leveraged ETFs vs underlying asset return since launch and peak share price

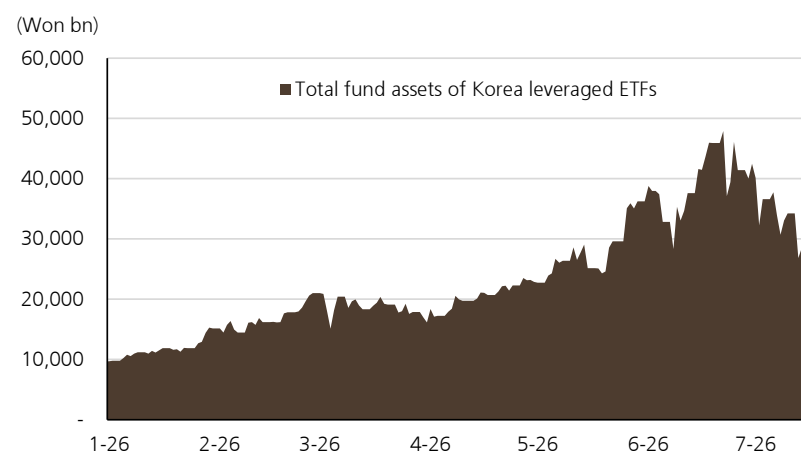
SKH			SKH Leveraged ETF	
Date	Price	Return	Price	Return
27-May	2,243,000	-7.2%	27,775	-32.3%
18-Jun	2,685,000	-22.5%	36,900	-49.1%
25-Jun	2,917,000	-28.6%	41,785	-55.0%

SEC			SEC Leveraged ETF	
Date	Price	Return	Price	Return
27-May	307,000	-9.0%	22,830	-30.4%
18-Jun	362,500	-22.9%	29,965	-47.0%
25-Jun	358,500	-22.0%	28,280	-43.8%

Source: Bloomberg, UBSe

Negative compounding effect increases the loss of leveraged ETFs

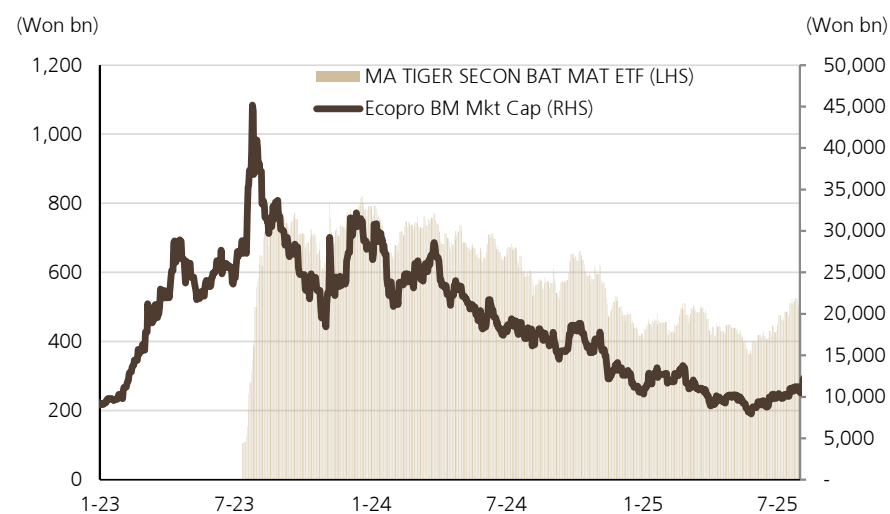
Figure 9: AUM of leveraged ETFs listed in Korea



Source: Bloomberg

AUM down 31% from Won48trn peak on 22 Jun to Won33trn

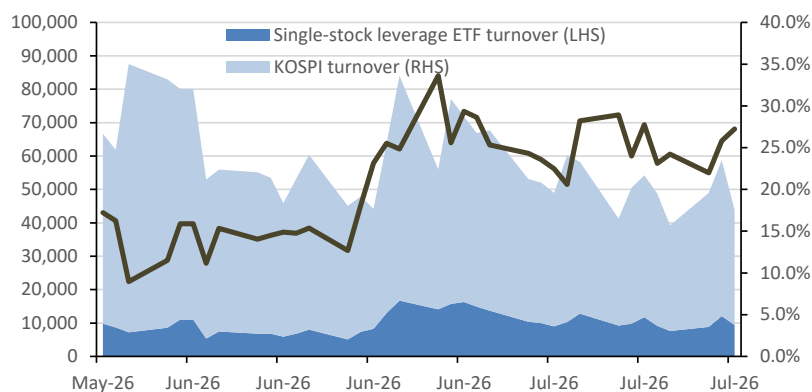
Figure 10: Ecopro BM share price vs battery sector leveraged ETF in 2023-2024



Source: Bloomberg

Sharp rally in battery stocks in July 2023 eclipsed by launch of leveraged battery ETFs. Volatility continued for 6-9M due to new ETF launches

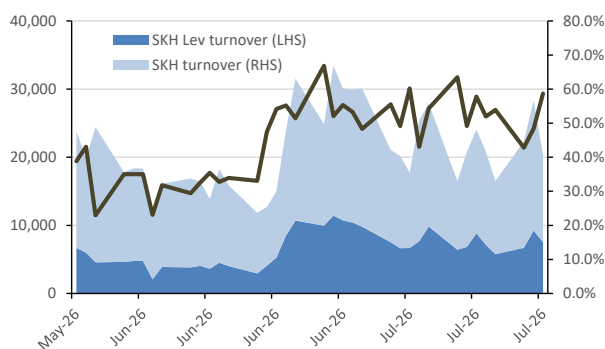
Figure 11: Single-stock leveraged ETFs (Korea listed) turnover vs KOSPI turnover



Current single-stock leveraged ETFs turnover is significant, equivalent to 54%/24% of SKH/SEC turnover and 25% of KOSPI turnover in July MTD

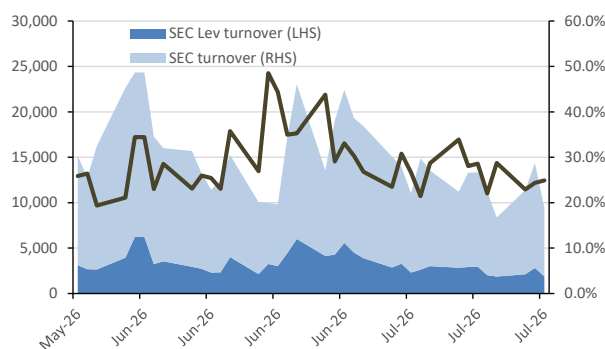
Source: Bloomberg

Figure 12: SKH single-stock leveraged ETFs (Korea-listed) turnover vs SK Hynix turnover



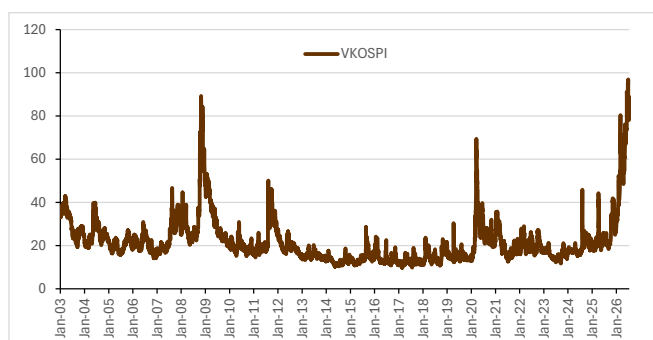
Source: Bloomberg

Figure 13: SEC single-stock leveraged ETFs (Korea-listed) turnover vs SEC turnover



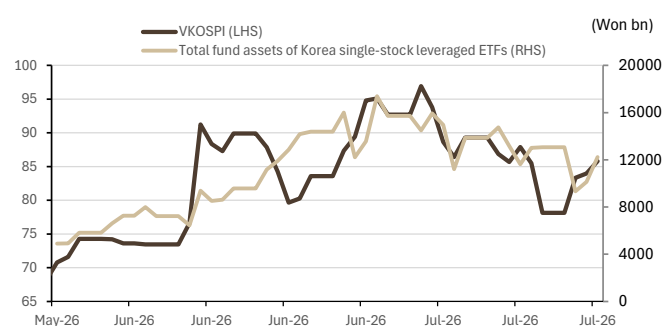
Source: Bloomberg

Figure 14: KOSPI volatility index



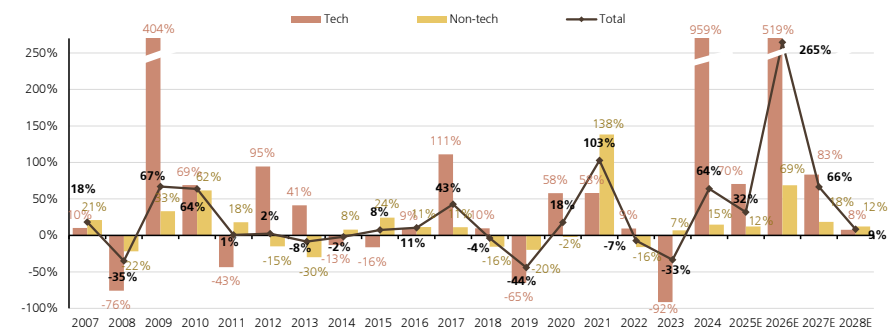
Source: Bloomberg

Figure 15: Single-stock leveraged ETFs AUM vs KOSPI volatility index



Source: Bloomberg, WiseFn

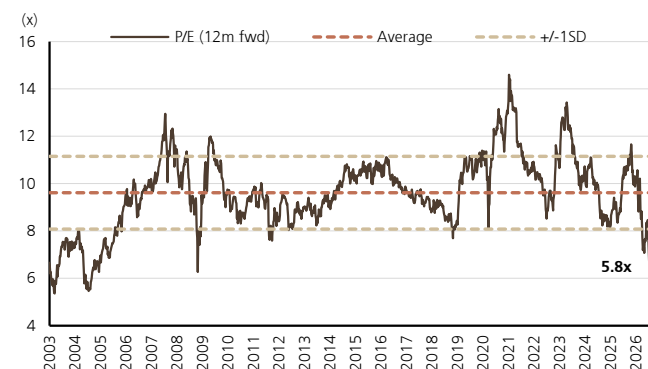
Figure 16: KOSPI EPS growth forecast



KOSPI EPS growth driven by both tech and non-tech sectors

Source: Company data, Bloomberg, UBS estimates

Figure 17: KOSPI historic PE



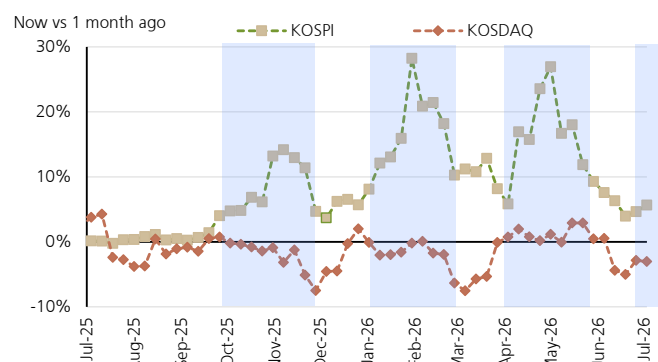
Source: WiseFn

Figure 18: KOSPI historic PE excluding SEC/SKH



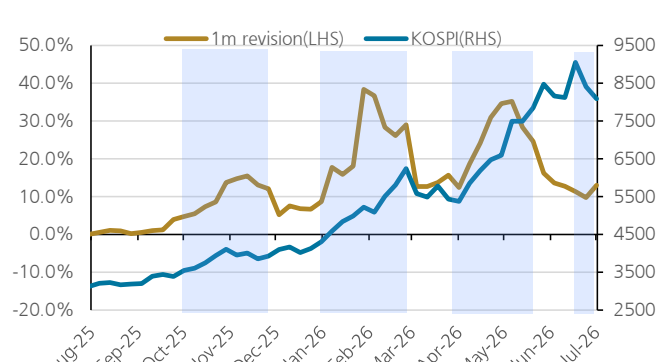
Source: WiseFn

Figure 19: KOSPI consensus 2026E EPS 1M revisions – KOSPI vs KOSDAQ



Source: Bloomberg

Figure 20: KOSPI consensus 1year forward EPS 1M revisions vs KOSPI index



Source: Bloomberg

Figure 21: KOSPI performance by sector

14-Jul-26	Absolute performance (%)					Relative performance to KOSPI (%)					Rank				
Sector	1M	3M	6M	12M	YTD	1M	3M	6M	12M	YTD	1M	3M	6M	12M	YTD
Auto	-23.8	-5.8	1.5	57.5	26.9	-14.6	-22.3	-33.2	-30.1	-25.5	20	7	12	6	5
Banks	5.9	2.4	21.9	20.6	22.6	18.8	-15.5	-19.8	-46.5	-28.0	2	5	5	9	7
Battery	-22.4	-21.7	-8.8	20.5	-4.5	-13.0	-35.4	-39.9	-46.5	-44.0	18	17	14	10	16
Chemicals	-25.7	-23.7	-9.8	2.5	-7.0	-16.7	-37.0	-40.6	-54.5	-45.4	23	19	15	15	17
Construction	-25.9	-34.6	40.5	60.3	64.6	-16.9	-46.0	-7.5	-28.8	-3.4	24	23	4	4	3
Consumer discretionary	-9.8	11.6	14.2	8.5	13.0	1.1	-7.9	-24.8	-51.9	-33.6	8	4	9	14	12
Consumer staples	-6.9	-9.7	-1.4	-10.1	-1.4	4.4	-25.5	-35.1	-60.1	-42.1	6	11	13	21	15
Cosmetics	0.3	-6.4	11.2	-4.1	13.6	12.5	-22.7	-26.8	-57.4	-33.3	3	8	10	18	11
Defense	-18.8	-37.9	-23.6	11.5	2.2	-9.0	-48.7	-49.7	-50.5	-40.0	16	24	20	12	14
Diversified financials	-15.6	-28.8	16.0	22.1	26.9	-5.3	-41.2	-23.7	-45.8	-25.5	13	21	8	8	6
Electric equipment	-23.6	-18.9	1.8	62.8	20.2	-14.3	-33.0	-33.0	-27.7	-29.4	19	16	11	3	9
Energy	6.0	-4.7	17.0	26.3	20.9	18.9	-21.4	-22.9	-43.9	-29.0	1	6	7	7	8
Entertainment	-9.3	-16.2	-23.8	-31.0	-23.4	1.7	-30.8	-49.8	-69.4	-55.0	7	13	21	24	22
Health care	-3.0	-17.7	-29.5	-8.7	-25.0	8.8	-32.1	-53.6	-59.5	-55.9	4	14	23	19	23
Holdcos	-15.2	33.9	64.2	114.8	92.3	-4.9	10.5	8.1	-4.7	12.9	12	2	2	2	2
Industrials	-22.0	-25.5	-17.0	1.9	-12.0	-12.5	-38.5	-45.4	-54.8	-48.3	17	20	17	16	19
Insurance	-11.6	21.3	59.2	60.0	56.7	-0.9	0.2	4.8	-29.0	-8.0	9	3	3	5	4
Internet	-25.2	-6.5	-22.6	-22.6	-16.5	-16.2	-22.8	-49.1	-65.6	-51.0	21	9	19	23	21
Shipbuilding	-25.5	-17.7	-28.4	18.7	-16.3	-16.4	-32.1	-52.8	-47.3	-50.9	22	15	22	11	20
Steel & metal	-18.7	-29.6	-18.8	1.8	-9.7	-8.9	-41.9	-46.6	-54.8	-47.0	15	22	18	17	18
Tech	-16.4	43.8	109.9	371.0	142.1	-6.3	18.7	38.2	109.1	42.1	14	1	1	1	1
Telecom	-13.2	-16.1	17.3	11.4	19.3	-2.6	-30.8	-22.7	-50.5	-30.0	11	12	6	13	10
Transport	-5.3	-8.3	-10.5	-9.6	2.2	6.2	-24.3	-41.1	-59.9	-40.0	5	10	16	20	13
Utilities	-12.1	-22.4	-33.9	-12.1	-26.1	-1.4	-35.9	-56.5	-61.0	-56.6	10	18	24	22	24
KOSPI	-10.8	21.4	53.4	126.3	72.0										

Source: Bloomberg, Company data, UBS estimates

Figure 22: Korea market earnings & valuations by sector

14-Jul-26	P/E (x)			P/BV (x)			Earnings growth (%)			ROE (%)			Dividend yield (%)		
Sector	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Auto	7.6	7.0	6.3	0.75	0.70	0.65	18.6	9.5	10.1	10.1	10.4	10.6	2.8	2.9	3.2
Banks	8.3	7.8	7.3	0.81	0.75	0.70	10.4	7.1	6.8	10.0	10.0	9.9	2.8	3.1	3.3
Battery	243.3	34.6	20.4	2.69	2.49	2.22	Turn+	604.1	69.3	1.1	7.5	11.5	0.0	0.1	0.1
Chemicals	20.2	10.4	6.4	0.69	0.60	0.54	Turn+	93.0	63.7	3.2	6.1	8.9	1.0	1.1	2.1
Construction	11.3	9.4	7.6	1.09	0.96	0.88	284.8	20.4	22.5	10.2	10.9	12.0	1.2	1.6	2.2
Consumer discretionary	9.7	8.5	7.6	0.78	0.73	0.67	47.8	14.2	11.5	8.4	8.9	9.2	2.3	3.0	3.4
Consumer staples	10.9	9.4	8.4	0.93	0.89	0.83	78.6	16.1	11.8	8.6	9.6	10.2	2.8	3.1	3.5
Cosmetics	30.9	23.0	19.5	2.60	2.42	2.22	82.8	34.2	17.9	8.6	10.9	11.9	0.9	1.1	1.4
Defense	23.5	16.7	13.9	4.22	3.47	2.89	48.5	40.5	20.6	18.6	22.7	22.7	0.6	0.8	0.9
Diversified financials	6.4	7.2	7.3	0.98	0.88	0.84	52.8	-10.7	-0.6	15.7	12.9	11.8	2.6	3.8	4.2
Electric equipment	43.1	31.3	25.9	6.93	5.84	4.96	78.6	37.7	21.0	17.1	20.2	20.7	0.4	0.5	0.7
Energy	10.2	11.9	7.9	0.91	0.87	0.81	Turn+	-14.8	51.8	9.5	7.5	10.7	0.3	2.7	2.0
Entertainment	15.1	14.9	13.7	1.71	1.58	1.43	75.6	1.2	9.0	11.8	11.0	11.0	0.9	1.2	1.2
Health care	41.1	35.3	30.1	4.20	3.80	3.41	14.9	16.5	17.2	10.7	11.3	11.9	0.2	0.2	0.2
Holdcos	6.3	5.0	4.5	1.55	1.29	1.14	241.2	25.7	10.1	26.5	28.2	26.7	0.7	0.9	1.3
Industrials	14.6	13.1	11.9	1.48	1.39	1.30	44.1	11.5	10.6	10.2	10.9	11.3	2.2	2.6	2.8
Insurance	13.5	10.0	10.5	0.73	0.58	0.49	18.0	35.7	-4.6	6.4	6.5	5.1	2.1	2.7	3.5
Internet	18.8	15.2	13.3	1.37	1.27	1.18	8.4	23.2	14.1	7.6	8.7	9.2	1.2	1.2	1.3
Shipbuilding	13.0	10.7	10.9	3.09	2.57	2.24	64.9	21.6	-2.1	25.9	26.2	21.9	1.3	2.2	2.5
Steel & metal	15.6	10.7	9.3	0.56	0.55	0.53	115.3	46.0	15.1	3.6	5.2	5.8	2.5	2.3	3.2
Tech	5.7	3.1	2.9	2.63	1.48	1.08	519.0	83.3	7.7	61.8	61.1	43.5	0.4	3.7	9.4
Telecom	10.6	9.7	9.1	0.90	0.87	0.83	31.3	9.2	6.7	8.7	9.1	9.3	3.3	4.6	5.0
Transport	11.7	9.5	8.4	0.76	0.78	0.69	-19.6	23.2	13.2	6.7	8.1	8.7	3.2	2.9	3.1
Utilities	4.0	4.8	3.6	0.41	0.39	0.35	-24.4	-16.6	35.3	10.6	8.2	10.3	4.4	3.4	3.0
Korea total	7.1	4.3	4.0	1.78	1.30	1.05	264.5	66.4	8.5	28.5	35.0	29.3	0.8	2.9	6.4
Tech	5.7	3.1	2.9	2.63	1.48	1.08	519.0	83.3	7.7	61.8	61.1	43.5	0.4	3.7	9.4
Non-tech	11.3	9.5	8.5	1.22	1.10	1.00	68.6	18.5	12.3	11.3	12.2	12.4	1.5	1.8	2.1

Source: Bloomberg, Company data, UBS estimates

Valuation Method and Risk Statement

Although there are many uncertainties with equity investing, economic and policy surprises generally pose the most consistent risks. Economic growth can be volatile, leading to earnings uncertainty. Inflation volatility can, likewise, lead to interest rate uncertainty. The direction and level of policy rates have a substantial impact on equity valuations.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

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Company Name	Reuters	12-month rating	Price	Price date
APR	278470.KS	Buy	Won393,000	16 Jul 2026
Celltrion Inc ²⁸	068270.KS	Buy	Won175,800	16 Jul 2026
Coupang ^{13,16,28}	CPNG.N	Buy	US\$16.86	16 Jul 2026
Doosan Enerbility ^{4,6,28,20}	034020.KS	Buy (CBE)	Won69,700	16 Jul 2026
EcoPro BM	247540.KQ	Sell	Won112,400	16 Jul 2026
Eugene Technology	084370.KQ	Buy	Won146,800	16 Jul 2026
HD Hyundai Heavy Industries ^{4,18}	329180.KS	Buy	Won484,000	16 Jul 2026
HD Korea Shipbuilding & Offshore Eng ^{2,4,5,6,28}	009540.KS	Buy	Won354,000	16 Jul 2026
Hanmi Semiconductor	042700.KS	Sell	Won242,500	16 Jul 2026
Hansol Chemical	014680.KS	Buy	Won244,500	16 Jul 2026
Hyosung Heavy Industries ²⁰	298040.KS	Buy (CBE)	Won2,789,000	16 Jul 2026
Hyundai E&C	000720.KS	Buy	Won99,000	16 Jul 2026
Korea Aerospace Industries	047810.KS	Buy	Won149,200	16 Jul 2026
L&F	066970.KS	Sell	Won92,000	16 Jul 2026
POSCO Future M	003670.KS	Sell	Won147,600	16 Jul 2026
POSCO Holdings ^{4,5,16,6,28}	005490.KS	Buy	Won311,500	16 Jul 2026
Samsung E&A ²⁸	028050.KS	Buy	Won40,850	16 Jul 2026
Samsung SDI ^{28,8}	006400.KS	Buy	Won434,500	16 Jul 2026
Shinsegae	004170.KS	Buy	Won589,000	16 Jul 2026
d'Alba Global	483650.KS	Buy	Won208,500	16 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Additional Prices: Samsung Electronics - PFD, Won172000 (16 Jul 2026); SK Hynix, Won1842000 (16 Jul 2026); Source: UBS. All prices as of local market close.

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